

Opinion of the Court

the agreement “does not expressly refer to class arbitration is not the ‘silence’ contemplated in *Stolt-Nielsen*.” *Ibid.* In *Stolt-Nielsen*, the parties had *stipulated* that their agreement was silent about class arbitration. Because there was no such stipulation here, the court concluded that *Stolt-Nielsen* was not controlling.

The Ninth Circuit then determined that the agreement was ambiguous on the issue of class arbitration. On the one hand, as Lamps Plus argued, certain phrases in the agreement seemed to contemplate “purely binary claims.” 701 Fed. Appx., at 672. At the same time, as Varela asserted, other phrases were capacious enough to include class arbitration, such as one stating that “arbitration shall be in lieu of any and all lawsuits or other civil legal proceedings relating to my employment.” *Ibid.* The Ninth Circuit followed California law to construe the ambiguity against the drafter, a rule that “applies with peculiar force in the case of a contract of adhesion” such as this. *Ibid.* (quoting *Sandquist v. Lebo Automotive, Inc.*, 1 Cal. 5th 233, 248, 376 P. 3d 506, 514 (2016)). Because Lamps Plus had drafted the agreement, the court adopted Varela’s interpretation authorizing class arbitration. Judge Fernandez dissented. In his view, the agreement was not ambiguous, and the majority’s holding was a “palpable evasion of *Stolt-Nielsen*.” 701 Fed. Appx., at 673.

Lamps Plus petitioned for a writ of certiorari, arguing that the Ninth Circuit’s decision contravened *Stolt-Nielsen* and created a conflict among the Courts of Appeals. In opposition, Varela not only disputed those contentions but also argued for the first time that the Ninth Circuit lacked jurisdiction over the appeal, and that this Court therefore lacked jurisdiction in turn. We granted certiorari. 584 U. S. 959 (2018).

II

We begin with jurisdiction. Section 16 of the FAA governs appellate review of arbitration orders. 9 U. S. C. § 16. Varela contends that the Ninth Circuit lacked statutory

Opinion of the Court

jurisdiction because section 16 permits appeal from orders *denying* motions to compel arbitration, § 16(a)(1)(B), but not orders *granting* such motions, § 16(b)(2). Brief for Respondent 9–12; see also *post*, at 196–197 (BREYER, J., dissenting). This argument is beside the point, however, because Lamps Plus relies for jurisdiction on a different provision of section 16, section 16(a)(3).

Section 16(a)(3) provides that an appeal may be taken from “a final decision with respect to an arbitration that is subject to this title.” We construed that provision in *Green Tree Financial Corp.-Ala. v. Randolph*, 531 U. S. 79 (2000), a case where, as here, the District Court had issued an order both compelling arbitration and dismissing the underlying claims. We held that such an order directing “the parties to proceed to arbitration, and dismiss[ing] all the claims before [the court], . . . is ‘final’ within the meaning of § 16(a)(3), and therefore appealable.” *Id.*, at 89.¹

Varela attempts to distinguish *Randolph* on the ground that the appeal here was taken by the party who sought an

¹JUSTICE BREYER repeatedly refers to the order in this case as “interlocutory,” *post*, at 199–201 (dissenting opinion), but—as the language quoted above makes clear—*Randolph* expressly held that such an order is “final” under the FAA. JUSTICE BREYER also claims that *Randolph* “explicitly reserved the [jurisdictional] question that we face now,” *post*, at 201, but *Randolph* reserved a different question. In that case, the District Court had denied a motion to stay. We noted that, if the District Court had entered a stay instead of dismissing the case, an appeal would have been barred by 9 U. S. C. § 16(b)(1). That said, we expressly refrained from addressing whether the District Court *should have* granted the stay. See 531 U. S., at 87, n. 2. That is the question we reserved. JUSTICE BREYER would have us take up that question today, *post*, at 197, 201, but there is no basis for doing so. The FAA provides that a district court “shall *on application of one of the parties* stay” the case pending the arbitration. 9 U. S. C. § 3 (emphasis added). Here, no party sought a stay. Thus, JUSTICE BREYER’s jurisdictional analysis is premised on two events that did not happen—a District Court ruling that was never issued denying a stay request that was never made. In short, JUSTICE BREYER has written an opinion for a case other than the one before us.

Opinion of the Court

order to dismiss the claim and compel arbitration, Lamps Plus. He claims the company “lacked standing to appeal the dismissal,” because the District Court’s order “provided precisely the relief Lamps Plus sought.” Brief for Respondent 13, 15.

But Lamps Plus did not secure the relief it requested. It sought an order compelling *individual* arbitration. What it got was an order rejecting that relief and instead compelling arbitration on a classwide basis. We have explained—and will elaborate further below—that shifting from individual to class arbitration is a “fundamental” change, *Stolt-Nielsen*, 559 U.S., at 686, that “sacrifices the principal advantage of arbitration” and “greatly increases risks to defendants,” *AT&T Mobility LLC v. Concepcion*, 563 U.S. 333, 348, 350 (2011). Lamps Plus’s interest in avoiding those consequences gives it the “necessary personal stake in the appeal” required by our precedent. *Camreta v. Greene*, 563 U.S. 692, 702 (2011).²

III

The Ninth Circuit applied California contract law to conclude that the parties’ agreement was ambiguous on the availability of class arbitration. In California, an agreement is ambiguous “when it is capable of two or more constructions, both of which are reasonable.” 701 Fed. Appx., at 672 (quoting *Powerine Oil Co. v. Superior Ct. of Los Angeles Cty.*, 37 Cal. 4th 377, 390, 118 P. 3d 589, 598 (2005)). Following our normal practice, we defer to the Ninth Circuit’s interpretation and application of state law and thus accept that the agreement should be regarded as ambiguous. See, e.g., *Expres-*

² And contrary to Varela’s contention, Brief for Respondent 14–15, and JUSTICE BREYER’s dissent, *post*, at 200–201, this is hardly a case like *Microsoft Corp. v. Baker*, 582 U.S. 23 (2017). There, we held that plaintiffs cannot generate a final appealable order by *voluntarily* dismissing their claim. Here, Lamps Plus was the defendant, and the District Court compelled class arbitration over the company’s vigorous opposition.

Opinion of the Court

sions Hair Design v. Schneiderman, 581 U. S. 37, 45 (2017).³

We therefore face the question whether, consistent with the FAA, an ambiguous agreement can provide the necessary “contractual basis” for compelling class arbitration. *Stolt-Nielsen*, 559 U. S., at 684. We hold that it cannot—a conclusion that follows directly from our decision in *Stolt-Nielsen*. Class arbitration is not only markedly different from the “traditional individualized arbitration” contemplated by the FAA, it also undermines the most important benefits of that familiar form of arbitration. *Epic Systems*, 584 U. S., at 509; see *Stolt-Nielsen*, 559 U. S., at 686–687. The statute therefore requires more than ambiguity to ensure that the parties actually agreed to arbitrate on a class-wide basis.

A

The FAA requires courts to “enforce arbitration agreements according to their terms.” *Epic Systems*, 584 U. S., at 506 (quoting *American Express Co. v. Italian Colors Restaurant*, 570 U. S. 228, 233 (2013)). Although courts may ordinarily accomplish that end by relying on state contract principles, *First Options of Chicago, Inc. v. Kaplan*, 514 U. S. 938, 944 (1995), state law is preempted to the extent it “stands as an obstacle to the accomplishment and execution of the full purposes and objectives” of the FAA, *Concepcion*, 563 U. S., at 352 (internal quotation marks omitted). At

³JUSTICE KAGAN offers her own interpretation of the contract, concludes that it unambiguously authorizes class arbitration, *post*, at 206–208 (dissenting opinion), and criticizes us for “disregard[ing] the actual contract the parties signed,” *post*, at 217. JUSTICE SOTOMAYOR, on the other hand, concludes that the contract is ambiguous about class arbitration but criticizes us for treating the contract as . . . ambiguous. *Post*, at 204–205 (dissenting opinion). Again, we simply follow this Court’s ordinary approach, which “accord[s] great deference” to the courts of appeals in their interpretation of state law. *Expressions Hair Design*, 581 U. S., at 45, (quoting *Pembaur v. Cincinnati*, 475 U. S. 469, 484, n. 13 (1986) (collecting cases)).

Opinion of the Court

issue in this case is the interaction between a state contract principle for addressing ambiguity and a “rule[] of fundamental importance” under the FAA, namely, that arbitration “is a matter of consent, not coercion.” *Stolt-Nielsen*, 559 U. S., at 681 (internal quotation marks omitted).

“[T]he first principle that underscores all of our arbitration decisions” is that “[a]rbitration is strictly a matter of consent.” *Granite Rock Co. v. Teamsters*, 561 U. S. 287, 299 (2010) (internal quotation marks omitted). We have emphasized that “foundational FAA principle” many times. *Stolt-Nielsen*, 559 U. S., at 684; see also, e. g., *Howsam v. Dean Witter Reynolds, Inc.*, 537 U. S. 79, 83 (2002); *First Options*, 514 U. S., at 943; *Mastrobuono v. Shearson Lehman Hutton, Inc.*, 514 U. S. 52, 57 (1995); *Volt Information Sciences, Inc. v. Board of Trustees of Leland Stanford Junior Univ.*, 489 U. S. 468, 479 (1989); *Mitsubishi Motors Corp. v. Soler Chrysler-Plymouth, Inc.*, 473 U. S. 614, 626 (1985).

Consent is essential under the FAA because arbitrators wield only the authority they are given. That is, they derive their “powers from the parties’ agreement to forgo the legal process and submit their disputes to private dispute resolution.” *Stolt-Nielsen*, 559 U. S., at 682. Parties may generally shape such agreements to their liking by specifying with whom they will arbitrate, the issues subject to arbitration, the rules by which they will arbitrate, and the arbitrators who will resolve their disputes. *Id.*, at 683–684. Whatever they settle on, the task for courts and arbitrators at bottom remains the same: “to give effect to the intent of the parties.” *Id.*, at 684.

In carrying out that responsibility, it is important to recognize the “fundamental” difference between class arbitration and the individualized form of arbitration envisioned by the FAA. *Epic Systems*, 584 U. S., at 509; see also *Concepcion*, 563 U. S., at 349, 351; *Stolt-Nielsen*, 559 U. S., at 686–687. In individual arbitration, “parties forgo the procedural rigor and appellate review of the courts in order to realize the

Opinion of the Court

benefits of private dispute resolution: lower costs, greater efficiency and speed, and the ability to choose expert adjudicators to resolve specialized disputes.” *Id.*, at 685. Class arbitration lacks those benefits. It “sacrifices the principal advantage of arbitration—its informality—and makes the process slower, more costly, and more likely to generate procedural morass than final judgment.” *Concepcion*, 563 U. S., at 348. Indeed, we recognized just last Term that with class arbitration “the virtues Congress originally saw in arbitration, its speed and simplicity and inexpensiveness, would be shorn away and arbitration would wind up looking like the litigation it was meant to displace.” *Epic Systems*, 584 U. S., at 509. Class arbitration not only “introduce[s] new risks and costs for both sides,” *ibid.*, it also raises serious due process concerns by adjudicating the rights of absent members of the plaintiff class—again, with only limited judicial review. See *Concepcion*, 563 U. S., at 349; see also *Stolt-Nielsen*, 559 U. S., at 686 (citing *Ortiz v. Fibreboard Corp.*, 527 U. S. 815, 846 (1999)).

Because of these “crucial differences” between individual and class arbitration, *Stolt-Nielsen* explained that there is “reason to doubt the parties’ mutual consent to resolve disputes through classwide arbitration.” 559 U. S., at 687, 685–686. And for that reason, we held that courts may not infer consent to participate in class arbitration absent an affirmative “contractual basis for concluding that the party *agreed* to do so.” *Id.*, at 684. Silence is not enough; the “FAA requires more.” *Id.*, at 687.

Our reasoning in *Stolt-Nielsen* controls the question we face today. Like silence, ambiguity does not provide a sufficient basis to conclude that parties to an arbitration agreement agreed to “sacrifice[] the principal advantage of arbitration.” *Concepcion*, 563 U. S., at 348.

This conclusion aligns with our refusal to infer consent when it comes to other fundamental arbitration questions. For example, we presume that parties have *not* authorized

Opinion of the Court

arbitrators to resolve certain “gateway” questions, such as “whether the parties have a valid arbitration agreement at all or whether a concededly binding arbitration clause applies to a certain type of controversy.” *Green Tree Financial Corp. v. Bazzle*, 539 U. S. 444, 452 (2003) (plurality opinion). Although parties are free to authorize arbitrators to resolve such questions, we will not conclude that they have done so based on “silence or ambiguity” in their agreement, because “doing so might too often force unwilling parties to arbitrate a matter they reasonably would have thought a judge, not an arbitrator, would decide.” *First Options*, 514 U. S., at 945 (emphasis added); see also *Howsam*, 537 U. S., at 83–84. We relied on that same reasoning in *Stolt-Nielsen*, 559 U. S., at 686–687, and it applies with equal force here. Neither silence nor ambiguity provides a sufficient basis for concluding that parties to an arbitration agreement agreed to undermine the central benefits of arbitration itself.⁴

B

The Ninth Circuit reached a contrary conclusion based on California’s rule that ambiguity in a contract should be construed against the drafter, a doctrine known as *contra proferentem*. The rule applies “only as a last resort” when the meaning of a provision remains ambiguous after exhausting the ordinary methods of interpretation. 3 A. Corbin, *Contracts* § 559, pp. 268–270 (1960). At that point, *contra proferentem* resolves the ambiguity against the drafter based on public policy factors, primarily equitable considerations about the parties’ relative bargaining strength. See 2 E. Farnsworth, *Contracts* § 7.11, pp. 300–304 (3d ed. 2004); see

⁴ This Court has not decided whether the availability of class arbitration is a so-called “question of arbitrability,” which includes these gateway matters. *Oxford Health Plans LLC v. Sutter*, 569 U. S. 564, 569, n. 2 (2013). We have no occasion to address that question here because the parties agreed that a court, not an arbitrator, should resolve the question about class arbitration.

Opinion of the Court

also 11 R. Lord, *Williston on Contracts* §32:12, pp. 788–792 (4th ed. 2012) (stating that application of the rule may vary based on “the degree of sophistication of the contracting parties or the degree to which the contract was negotiated”); Restatement (Second) of Contracts §206, pp. 80–81, 105–107 (1979) (classifying *contra proferentem* under “Considerations of Fairness and the Public Interest” rather than with rules for interpreting “The Meaning of Agreements”); 3 Corbin, *Contracts* §559, at 270 (noting that *contra proferentem* is “chiefly a rule of public policy”). Although the rule enjoys a place in every hornbook and treatise on contracts, we noted in a recent FAA case that “the reach of the canon construing contract language against the drafter must have limits, no matter who the drafter was.” *DIRECTV, Inc. v. Imburgia*, 577 U. S. 47, 58 (2015). This case brings those limits into focus.

Unlike contract rules that help to interpret the meaning of a term, and thereby uncover the intent of the parties, *contra proferentem* is by definition triggered only after a court determines that it *cannot* discern the intent of the parties. When a contract is ambiguous, *contra proferentem* provides a default rule based on public policy considerations; “it can scarcely be said to be designed to ascertain the meanings attached by the parties.” 2 Farnsworth, *Contracts* §7.11, at 303. Like the contract rule preferring interpretations that favor the public interest, see *id.*, at 304, *contra proferentem* seeks ends other than the intent of the parties.

“[C]lass arbitration, to the extent it is manufactured by [state law] rather than consen[t], is inconsistent with the FAA.” *Concepcion*, 563 U. S., at 348. We recently reiterated that courts may not rely on state contract principles to “reshape traditional individualized arbitration by mandating classwide arbitration procedures without the parties’ consent.” *Epic Systems*, 584 U. S., at 509. But that is precisely what the court below did, requiring class arbitration on the basis of a doctrine that “does not help to determine the meaning that the two parties gave to the words, or even

Opinion of the Court

the meaning that a reasonable person would have given to the language used.” 3 Corbin, Contracts § 559, at 269–270. Such an approach is flatly inconsistent with “the foundational FAA principle that arbitration is a matter of consent.” *Stolt-Nielsen*, 559 U. S., at 684.

Varela and JUSTICE KAGAN defend application of the rule on the basis that it is nondiscriminatory. It does not conflict with the FAA, they argue, because it is a neutral rule that gives equal treatment to arbitration agreements and other contracts alike. See Brief for Respondent 18, 25–26; *post*, at 210–213 (KAGAN, J., dissenting). We have explained, however, that such an equal treatment principle cannot save from preemption general rules “that target arbitration either by name or by more subtle methods, such as by ‘interfer[ing] with fundamental attributes of arbitration.’” *Epic Systems*, 584 U. S., at 508 (quoting *Concepcion*, 563 U. S., at 344).

That was the case in *Concepcion*. There, the Court considered the general contract defense of unconscionability, which had been interpreted by the state court to bar class action waivers in consumer contracts, whether in the litigation or arbitration context. See *id.*, at 341–344. The general applicability of the rule did not save it from preemption under the FAA with respect to arbitration agreements, because it had the consequence of allowing any party to a consumer arbitration agreement to demand class proceedings “without the parties’ consent.” *Epic Systems*, 584 U. S., at 508 (describing the “essential insight” of *Concepcion*). That, for the reasons we have explained, “interferes with fundamental attributes of arbitration and thus creates a scheme inconsistent with the FAA.” *Concepcion*, 563 U. S., at 344; see *Epic Systems*, 584 U. S., at 509. The same reasoning applies here: The general *contra proferentem* rule cannot be applied to impose class arbitration in the absence of the parties’ consent.⁵

⁵ Varela and JUSTICE KAGAN contend that our use of *contra proferentem* in *Mastrobuono v. Shearson Lehman Hutton, Inc.*, 514 U. S. 52, 57 (1995), establishes that the rule is not preempted by the FAA. Brief for Re-

THOMAS, J., concurring

Our opinion today is far from the watershed JUSTICE KAGAN claims it to be. Rather, it is consistent with a long line of cases holding that the FAA provides the default rule for resolving certain ambiguities in arbitration agreements. For example, we have repeatedly held that ambiguities about the scope of an arbitration agreement must be resolved in favor of arbitration. See, e. g., *Mitsubishi Motors Corp.*, 473 U. S., at 626; *Moses H. Cone Memorial Hospital v. Mercury Constr. Corp.*, 460 U. S. 1, 24–25 (1983). In those cases, we did not seek to resolve the ambiguity by asking who drafted the agreement. Instead, we held that the FAA itself provided the rule. As in those cases, the FAA provides the default rule for resolving ambiguity here.

* * *

Courts may not infer from an ambiguous agreement that parties have consented to arbitrate on a classwide basis. The doctrine of *contra proferentem* cannot substitute for the requisite affirmative “contractual basis for concluding that the part[ies] agreed to [class arbitration].” *Stolt-Nielsen*, 559 U. S., at 684.

We reverse the judgment of the Court of Appeals for the Ninth Circuit and remand the case for further proceedings consistent with this opinion.

It is so ordered.

JUSTICE THOMAS, concurring.

As our precedents make clear and the Court acknowledges, the Federal Arbitration Act (FAA) requires federal

spondent 33–35; *post*, at 212 (dissenting opinion). In *Mastrobuono*, however, we had no occasion to consider a conflict between the FAA and *contra proferentem* because both rules led to the same result. Our holding was primarily based on the FAA policy favoring arbitration, 514 U. S., at 62, and only after establishing that did we apply *contra proferentem*, noting that the rule was “well suited to the facts of this case,” *id.*, at 63. See also *EEOC v. Waffle House, Inc.*, 534 U. S. 279, 293, n. 9 (2002) (explaining that *Mastrobuono* resolved an ambiguous provision by “read[ing] the agreement to favor arbitration under the FAA rules”).

THOMAS, J., concurring

courts to enforce arbitration agreements “just as they would ordinary contracts: in accordance with their terms.” *Howsam v. Dean Witter Reynolds, Inc.*, 537 U.S. 79, 87 (2002) (THOMAS, J., concurring in judgment). Federal courts must therefore apply “background principles of state contract law” when evaluating arbitration agreements. *Arthur Andersen LLP v. Carlisle*, 556 U.S. 624, 630 (2009); *Perry v. Thomas*, 482 U.S. 483, 492, n. 9 (1987). “In this endeavor, ‘as with any other contract, the parties’ intentions control.’” *Stolt-Nielsen S. A. v. AnimalFeeds Int’l Corp.*, 559 U.S. 662, 682 (2010) (quoting *Mitsubishi Motors Corp. v. Soler Chrysler-Plymouth, Inc.*, 473 U.S. 614, 626 (1985)). Thus, where an agreement is silent as to class arbitration, a court may not infer from that silence that the parties agreed to arbitrate on a class basis. 559 U.S., at 687.

Here, the arbitration agreement between Varela and Lamps Plus is silent as to class arbitration. If anything, the agreement suggests that the parties contemplated only bilateral arbitration.* App. to Pet. for Cert. 24a (waiving “any right *I* may have to file a lawsuit or other civil action or proceeding relating to *my* employment with the Company” (emphasis added)); *ibid.* (“*The Company and I* mutually consent to the resolution by arbitration of all claims . . . that *I* may have against the Company” (emphasis added)); *id.*, at 24a–25a (“Specifically, *the Company and I* mutually consent to the resolution by arbitration of all claims that may hereafter arise in connection with *my* employment” (emphasis added)). This agreement provides no “contractual basis” for

*Two intermediate California courts have held, based on similar language, that an arbitration agreement did not authorize class arbitration. See *Nelsen v. Legacy Partners Residential, Inc.*, 207 Cal. App. 4th 1115, 1129–1131, 144 Cal. Rptr. 3d 198, 210–211 (2012); *Kinecta Alternative Financial Solutions, Inc. v. Superior Ct. of Los Angeles Cty.*, 205 Cal. App. 4th 506, 517–519, 140 Cal. Rptr. 3d 347, 356–357 (2012), disapproved of on other grounds by *Sandquist v. Lebo Automotive, Inc.*, 1 Cal. 5th 233, 376 P. 3d 506 (2016).

GINSBURG, J., dissenting

concluding that the parties agreed to class arbitration, *Stolt-Nielsen*, *supra*, at 684, and I would therefore reverse on that basis.

The Court instead evaluates whether California’s *contra proferentem* rule, as applied here, “‘stands as an obstacle to the accomplishment and execution of the full purposes and objectives’ of the FAA.” *Ante*, at 183 (quoting *AT&T Mobility LLC v. Concepcion*, 563 U. S. 333, 352 (2011)). I remain skeptical of this Court’s implied pre-emption precedents, see *Wyeth v. Levine*, 555 U. S. 555, 582–604 (2009) (opinion concurring in judgment), but I join the opinion of the Court because it correctly applies our FAA precedents, see *Epic Systems Corp. v. Lewis*, 584 U. S. 497 (2018); *Concepcion*, *supra*.

JUSTICE GINSBURG, with whom JUSTICE BREYER and JUSTICE SOTOMAYOR join, dissenting.

Joining JUSTICE KAGAN’s dissenting opinion in full, I write separately to emphasize once again how treacherously the Court has strayed from the principle that “arbitration is a matter of consent, not coercion.” *Stolt-Nielsen S. A. v. AnimalFeeds Int’l Corp.*, 559 U. S. 662, 681 (2010) (internal quotation marks omitted).

Congress enacted the Federal Arbitration Act (FAA) in 1925 “to enable merchants of roughly equal bargaining power to enter into binding agreements to arbitrate *commercial* disputes.” *Epic Systems Corp. v. Lewis*, 584 U. S. 497, 543 (2018) (GINSBURG, J., dissenting) (emphasis in original). The Act was not designed to govern contracts “in which one of the parties characteristically has little bargaining power.” *Prima Paint Corp. v. Flood & Conklin Mfg. Co.*, 388 U. S. 395, 403, n. 9 (1967); see *Gilmer v. Interstate/Johnson Lane Corp.*, 500 U. S. 20, 42 (1991) (Stevens, J., dissenting) (“I doubt that any legislator who voted for [the FAA] expected it to apply . . . to form contracts between parties of unequal bargaining power, or to the arbitration of

GINSBURG, J., dissenting

disputes arising out of the employment relationship.”); Miller, Simplified Pleading, Meaningful Days in Court, and Trials on the Merits: Reflections on the Deformation of Federal Procedure, 88 N. Y. U. L. Rev. 286, 323 (2013) (The FAA was “enacted in 1925 with the seemingly limited purpose of overcoming the then-existing ‘judicial hostility’ to the arbitration of contract disputes between businesses.”).

The Court has relied on the FAA, not simply to overcome once-prevalent judicial resistance to enforcement of arbitration disputes between businesses. In relatively recent years, it has routinely deployed the law to deny to employees and consumers “effective relief against powerful economic entities.” *DIRECTV, Inc. v. Imburgia*, 577 U.S. 47, 67 (2015) (GINSBURG, J., dissenting). Arbitration clauses, the Court has decreed, may preclude judicial remedies even when submission to arbitration is made a take-it-or-leave-it condition of employment or is imposed on a consumer given no genuine choice in the matter. See *Epic*, 584 U.S., at 545–546 (GINSBURG, J., dissenting) (surveying “court decisions expansively interpreting” the FAA); *Circuit City Stores, Inc. v. Adams*, 532 U.S. 105, 132 (2001) (Stevens, J., dissenting) (“There is little doubt that the Court’s interpretation of the [FAA] has given it a scope far beyond the expectations of the Congress that enacted it.”); Miller, *supra*, at 324 (describing as “extraordinary” “judicial extension of the [FAA] to a vast array of consumer contracts . . . characterized by their adhesive nature and by the individual’s complete lack of bargaining power”). Propelled by the Court’s decisions, mandatory arbitration clauses in employment and consumer contracts have proliferated. See, e.g., Economic Policy Institute, A. Colvin, The Growing Use of Mandatory Arbitration 2, 4–6 (Apr. 6, 2018) (mandatory arbitration imposed by private-sector employers on nonunionized employees notably increased between 1995 and 2017), online at <https://www.epi.org/files/pdf/144131.pdf> (all Internet materials as last visited Apr. 22, 2019); Consumer Financial Protection Bureau, Arbi-

GINSBURG, J., dissenting

tration Study § 1.4.1 (Mar. 2015) (“Tens of millions of consumers use consumer financial products or services that are subject to . . . arbitration clauses.”), online at https://files.consumerfinance.gov/f/201503_cfpb_arbitration-study-report-to-congress-2015.pdf.

Piling Pelion on Ossa, the Court has hobbled the capacity of employees and consumers to band together in a judicial or arbitral forum. See *Epic*, 584 U. S., at 546, n. 12 (GINSBURG, J., dissenting) (noting Court decisions enforcing class-action waivers imposed by the party in command, who wants no collective proceedings). The Court has pursued this course even though “neither the history nor present practice suggests that class arbitration is fundamentally incompatible with arbitration itself.” *AT&T Mobility LLC v. Concepcion*, 563 U. S. 333, 362 (2011) (BREYER, J., dissenting).

Employees and consumers forced to arbitrate solo face severe impediments to the “vindication of their rights.” *Stolt-Nielsen*, 559 U. S., at 699 (GINSBURG, J., dissenting). “Expenses entailed in mounting individual claims will often far outweigh potential recoveries.” *Epic*, 584 U. S., at 550 (GINSBURG, J., dissenting); see *American Express Co. v. Italian Colors Restaurant*, 570 U. S. 228, 246 (2013) (KAGAN, J., dissenting) (“[The defendant] has put [the plaintiff] to this choice: Spend way, way, way more money than your claim is worth, or relinquish your . . . rights.”); *Concepcion*, 563 U. S., at 365 (BREYER, J., dissenting) (“What rational lawyer would have signed on to represent the [plaintiffs] for the possibility of fees stemming from a \$30.22 [individual] claim?”); Resnik, *Revising Our “Common Intellectual Heritage”: Federal and State Courts in Our Federal System*, 91 *Notre Dame L. Rev.* 1831, 1888 (2016) (“Few individuals can afford to pursue small value claims; mandating single-file arbitration serves as a means of erasing rights, rather than enabling their ‘effective vindication.’”).

Today’s decision underscores the irony of invoking “the first principle” that “arbitration is strictly a matter of con-

GINSBURG, J., dissenting

sent,” *ante*, at 184 (internal quotation marks and alterations omitted), to justify imposing individual arbitration on employees who surely would not choose to proceed solo. Respondent Frank Varela sought redress for negligence by his employer leading to a data breach affecting 1,300 employees. See Complaint in No. 5:16-cv-00577 (CD Cal.), Doc. 1, ¶¶1, 59. The widely experienced neglect he identified cries out for collective treatment. Blocking Varela’s path to concerted action, the Court aims to ensure the authenticity of consent to class procedures in arbitration. *Ante*, at 184–185. Shut from the Court’s sight is the “Hobson’s choice” employees face: “accept arbitration on their employer’s terms or give up their jobs.” *Epic*, 584 U. S., at 531, n. 2 (GINSBURG, J., dissenting); see *Circuit City*, 532 U. S., at 139 (Souter, J., dissenting) (employees often “lack the bargaining power to resist an arbitration clause if their prospective employers insist on one”).

Recent developments outside the judicial arena ameliorate some of the harm this Court’s decisions have occasioned. Some companies have ceased requiring employees to arbitrate sexual harassment claims, see McGregor, Firms May Follow Tech Giants on Forced Arbitration, *Washington Post*, Nov. 13, 2018, p. A15, col. 1, or have extended their no-forced-arbitration policy to a broader range of claims, see Wakabayashi, Google Scraps Forced Arbitration Policy, *N. Y. Times*, Feb. 22, 2019, p. B5, col. 4. And some States have endeavored to safeguard employees’ opportunities to bring sexual harassment suits in court. See, e. g., N. Y. Civ. Prac. Law Ann. §7515 (West 2019) (rendering unenforceable certain mandatory arbitration clauses covering sexual harassment claims). These developments are sanguine, for “[p]lainly, it would not comport with the congressional objectives behind a statute seeking to enforce civil rights . . . to allow the very forces that had practiced discrimination to contract away the right to enforce civil rights in the courts.” *Barrentine v. Arkansas-Best Freight System, Inc.*, 450 U. S. 728, 750 (1981) (Burger, C. J., dissenting).

BREYER, J., dissenting

Notwithstanding recent steps to counter the Court's current jurisprudence, mandatory individual arbitration continues to thwart "effective access to justice" for those encountering diverse violations of their legal rights. *DIRECTV*, 577 U.S., at 60 (GINSBURG, J., dissenting). The Court, paradoxically reciting the mantra that "[c]onsent is essential," *ante*, at 184, has facilitated companies' efforts to deny employees and consumers the "important right" to sue in court, and to do so collectively, by inserting solo-arbitration-only clauses that parties lacking bargaining clout cannot remove. *CompuCredit Corp. v. Greenwood*, 565 U.S. 95, 115 (2012) (GINSBURG, J., dissenting). When companies can "muffl[e] grievance[s] in the cloakroom of arbitration," *Merrill Lynch, Pierce, Fenner & Smith, Inc. v. Ware*, 414 U.S. 117, 136 (1973), the result is inevitable: curtailed enforcement of laws "designed to advance the well-being of [the] vulnerable." *Epic*, 584 U.S., at 550 (GINSBURG, J., dissenting). "Congressional correction of the Court's elevation of the FAA over" the rights of employees and consumers "to act in concert" remains "urgently in order." *Id.*, at 527.

JUSTICE BREYER, dissenting.

Although I join JUSTICE GINSBURG's and JUSTICE KAGAN's dissents in full, I also dissent for another reason. In my view, the Court of Appeals lacked jurisdiction to hear this case. Consequently, we lack jurisdiction as well. See 28 U.S.C. § 1254. My reason for reaching this conclusion is the following. The Federal Arbitration Act, at § 4, says that a "court," upon being satisfied that the parties have agreed to arbitrate a claim, "shall make an order directing the parties to proceed to arbitration in accordance with the terms of the agreement." 9 U.S.C. § 4. Section 16 of the Act then says that "an appeal *may not be taken* from an interlocutory order . . . directing arbitration to proceed under section 4 of this title." § 16(b)(2) (emphasis added). And directing

BREYER, J., dissenting

arbitration to proceed is just what the District Court did here. App. to Pet. for Cert. 23a.

I

These statutory provisions reflect a congressional effort (in respect to a specific subject matter) to help resolve a more general problem. Too few interlocutory appeals will too often impose upon parties delay and expense that an interlocutory appeal, by quickly correcting a lower court error, might have spared them. But too many interlocutory appeals will too often unnecessarily delay proceedings while a party appeals and loses. And delays can clog the appellate system, thereby slowing down the workings, and adding to the costs, of the judicial system seen as a whole. Congress' jurisdictional statutes consequently compromise, providing, for example, for interlocutory appeals in some instances, such as cases involving injunctive orders, see, *e. g.*, 28 U. S. C. § 1292(a)(1), or where important separable legal questions are at issue, see, *e. g.*, *Ashcroft v. Iqbal*, 556 U. S. 662, 671 (2009), or where a district court certifies an open legal question to a court of appeals for determination, see, *e. g.*, 28 U. S. C. § 1292(b). But often statutes and rules require the parties to proceed to the end of a trial before obtaining appellate review. See, *e. g.*, § 1291.

The statutory provisions before us are a local species of this jurisdictional genus. In them, Congress limited interlocutory review of orders concerning arbitration in a way that favors arbitration. Consequently, § 16(a) of the FAA will normally allow an immediate appeal where arbitration is denied, but § 16(b) will normally require parties to wait until the end of the arbitration in order to bring legal questions about that proceeding to a court of appeals.

A couple of examples illustrate the point. Take first § 4 of the FAA. Section 4 provides that a "court," upon being satisfied that the parties have agreed to arbitrate a claim, "shall make an order directing the parties to proceed to arbi-

BREYER, J., dissenting

tration in accordance with the terms of the agreement.” 9 U.S.C. §4. Section 16(a) of the FAA provides that a party *may* immediately appeal a district court order *refusing to compel arbitration* under §4, while §16(b) provides that a party generally *may not* immediately appeal a district court order *compelling arbitration* under §4. Compare §16(a)(1)(B) (“An appeal may be taken from” an order “denying a petition under section 4 of this title”) with §16(b)(2) (“[A]n appeal may not be taken from an interlocutory order . . . directing arbitration to proceed under section 4 of this title”).

Section 3 of the FAA provides another good example. Where a suit contains several claims, and the district court has determined that the parties agreed to arbitrate only a subset of those claims, §3 of the FAA provides that the district court must stay the litigation at the request of either party. See §3 (providing that a court, when referring claims for arbitration, “shall on application of one of the parties stay” the case “until such arbitration has been had”). The stay relieves the parties of the burden and distraction of continuing to litigate any remaining claims while the arbitration is ongoing. And true to the FAA’s proarbitration appellate scheme, §16(a) *permits* immediate appeals of district court orders *refusing to enter a stay*, while §16(b) generally *prohibits* immediate appeals of district court orders *granting a stay*. Compare §16(a)(1)(A) (“An appeal may be taken from” an order “refusing a stay of any action under section 3 of this title”) with §16(b)(1) (“[A]n appeal may not be taken from an interlocutory order . . . granting a stay of any action under section 3 of this title”).

I could go on. Section 16(a) of the FAA permits immediate appeal of an interlocutory order granting an injunction against arbitration, while §16(b) generally prohibits immediate appeal of an order refusing to enjoin an arbitration. Compare §16(a)(2) with §16(b)(4). Section 16(a) of the FAA permits immediate appeal of an order denying an application

BREYER, J., dissenting

to compel arbitration pursuant to § 206, while § 16(b) generally prohibits immediate appeal of an order compelling arbitration pursuant to § 206. Compare § 16(a)(1)(C) with § 16(b)(3). Et cetera.

The point, however, is that the appellate scheme of the FAA reflects Congress' policy decision that, if a district court determines that arbitration of a claim is called for, there should be no appellate interference with the arbitral process unless and until that process has run its course.

With § 16's structure, and Congress' policy in mind, we can turn to the facts of this case.

II

Respondent Frank Varela is an employee of petitioner Lamps Plus, Inc. At the outset of their employment relationship, Varela and Lamps Plus agreed to arbitrate employment-related claims. Varela later filed suit against Lamps Plus on behalf of himself and a class of Lamps Plus' employees. Lamps Plus asked the District Court to compel arbitration. And the District Court granted Lamps Plus' request. Despite having won the relief that it requested, Lamps Plus appealed the District Court's order because Lamps Plus objected to the District Court's conclusion that the parties' agreement permitted arbitration on a classwide basis. The Court of Appeals affirmed the District Court's judgment. And we granted Lamps Plus' petition for certiorari to consider whether the Court of Appeals erred in so ruling.

But on those facts, I think that the Court lacks jurisdiction over Lamps Plus' petition. When Lamps Plus responded to Varela's lawsuit by seeking a motion to compel arbitration, and the District Court granted that motion, this case fell neatly into § 16(b)'s description of unappealable district court orders under the FAA. The parties were obligated by the FAA to arbitrate their dispute without the expense and delay of further litigation. If, after arbitration, the parties

BREYER, J., dissenting

were dissatisfied with the award or with the District Court’s arbitration related decisions, § 16(a) of the FAA provides for an appeal at that later date. See §§ 16(a)(1)(D)–(E) (permitting appeals of orders confirming, modifying, or vacating an award); see also § 16(a)(3) (permitting appeal of “a final decision with respect to an arbitration”). But, in the interim, § 16(b) deprived the Court of Appeals of jurisdiction to hear any such complaint. See §§ 16(b)(1)–(4). I recognize that Lamps Plus is dissatisfied with the arbitration that the District Court ordered here. But the District Court’s order nonetheless granted the motion compelling arbitration, leaving Lamps Plus to bring its claim to an appellate court only after the arbitration is completed. See § 16(b)(2). I believe we should enforce the statutory provisions that lead to this conclusion.

Lamps Plus offers three arguments in response. *First*, Lamps Plus suggests the Court of Appeals had jurisdiction over Lamps Plus’ appeal because the District Court order at issue here not only granted Lamps Plus’ motion to compel arbitration, but also granted Lamps Plus’ motion to dismiss the case. See Brief for Petitioners 29. Lamps Plus points out that § 16(a) permits the appeal of “a final decision with respect to an arbitration.” 9 U.S.C. § 16(a)(3). Lamps Plus reasons that, so long as a decision is final, it is appealable under the FAA.

I disagree because I do not believe that the District Court had the discretion to dismiss the case immediately after granting Lamps Plus’ motion to compel arbitration. Section 4 of the FAA permits a district court to compel the parties to arbitrate their claim, and § 16(b)(2) explains that “an appeal *may not be taken* from an interlocutory order . . . directing arbitration to proceed under section 4 of this title.” Thus, the District Court order compelling arbitration was interlocutory and generally unappealable. As I have just explained, to read the statute any other way would contravene § 16’s proarbitration appeal scheme by turning an inter-